



Decision Making

Chapter 5

Learning Objectives

After studying this chapter, the students are expected to:

- know the concept and features of decision making;
- understand the elements of decision situation;
- explain the types of decisions making;
- know the process and approaches of decision making;
- analyze the decision making conditions and styles.



Concept of Decision Making

A decision can be defined as a course of action purposely chosen from a set of alternatives to achieve organizational goals. Hence, decision making is a process of selecting the best alternative among the available alternatives.



Features of Decision Making

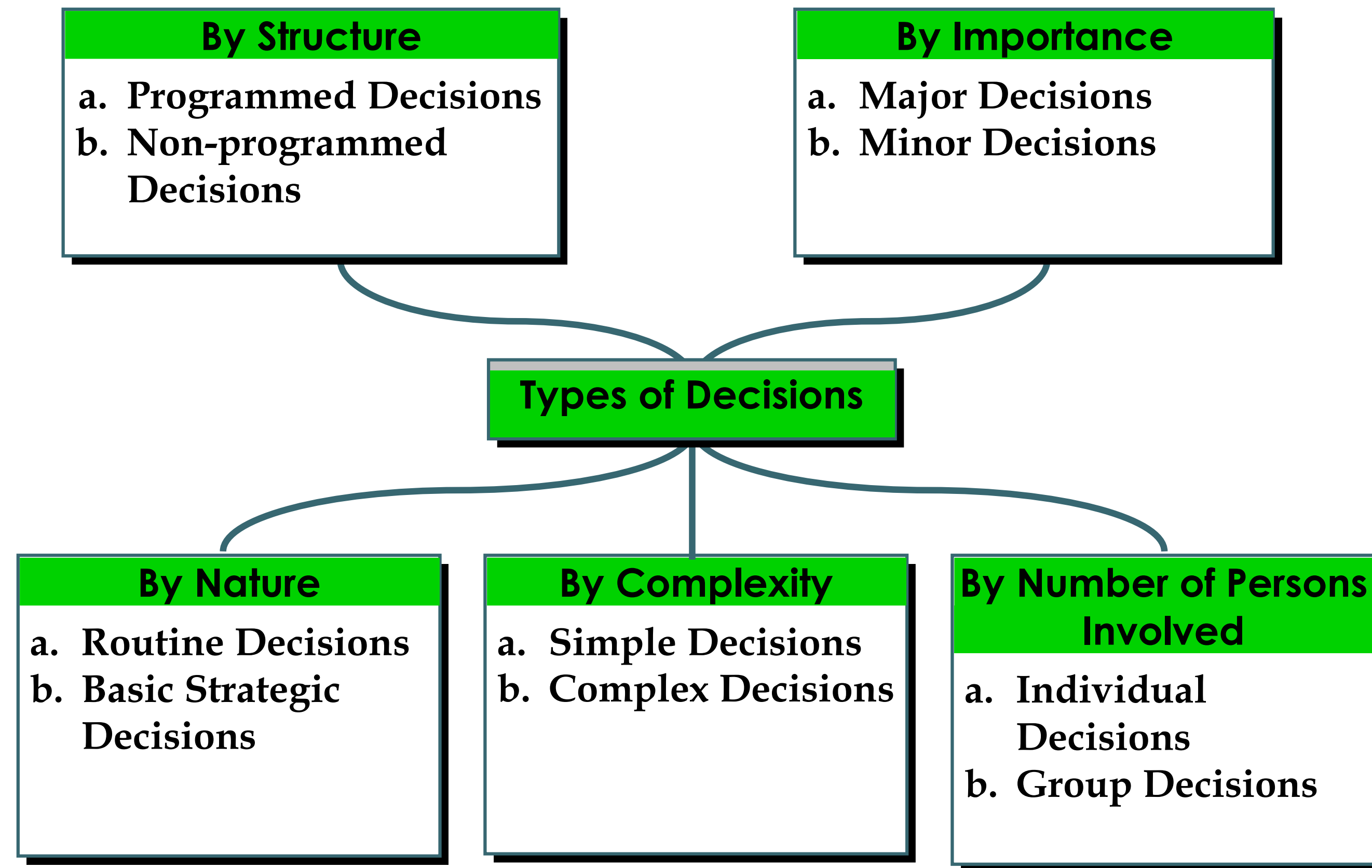
The major features of decision making are:

1. Selective process
2. Human and rational process
3. Dynamic process
4. Goal oriented
5. Continuous process
6. Freedom to decision maker
7. Positive or negative impact



Types of Problems and Decisions Making

Managers make a number of decisions with different nature. They may be categorized in a number of ways.



Process of Rational Decision Making

The following are the processes or steps involved in a rational decision making process.

1. Identification of problem or opportunity situation
2. Identification of possible alternatives
3. Evaluation of alternatives
4. Selection of the best alternative
5. Implementation of the chosen alternative
6. Follow up and evaluation of the results



Decision Making Conditions

There are three major conditions of decision making. They are discussed below.

1. Decision making under certainty
2. Decision making under risk
3. Decision making under uncertainty



Decision Making Styles

There are two styles of decision making. They are linear and nonlinear thinking styles.

1. Linear thinking style
2. Nonlinear thinking style



Differences between Linear and Nonlinear Thinking Style

Bases of Differences	Linear Thinking Style	Nonlinear Thinking Style
1. Use of data	The linear thinking style uses external data.	The nonlinear thinking style uses internal data.
2. Process	It adopts a rational process.	It does not adopt the rational process.
3. Objectivity	The decisions are made objectively.	The decisions are made subjectively.
4. Timing	It consumes more time.	It allows for a quick decision making.
5. Nature of decision	It is suitable for high value and critical decision.	It is suitable for low value decision.



Decision Making Biases and Errors

Following are some decision making biases and errors

1. Heuristics
2. Overconfidence bias
3. Immediate gratification bias
4. Anchoring effect
5. Selective perception bias
6. Confirmation bias
7. Framing bias
8. Availability bias
9. Representation bias
10. Randomness bias
11. Sunk costs errors
12. Self serving bias
13. Hindsight bias



Tools of Decision Making

A number of tools may be used while making decisions. They are discussed below.

1. Linear programming
2. Simulation
3. Payoff matrix
4. Decision tree
5. Queuing model
6. Game theory
7. Accounting tools

